

**SUBSTITUTE FOR
HOUSE BILL NO. 5104**

A bill to amend 2016 PA 281, entitled
"Medical marihuana facilities licensing act,"
by amending sections 102, 402, and 407 (MCL 333.27102, 333.27402,
and 333.27407), section 102 as amended by 2021 PA 57, section 402
as amended by 2021 PA 161, and section 407 as amended by 2018 PA
582.

THE PEOPLE OF THE STATE OF MICHIGAN ENACT:

1 Sec. 102. As used in this act:

2 (a) "Advisory panel" or "panel" means the ~~marijuana~~**cannabis**
3 regulatory agency.

4 (b) "Affiliate" means any person that controls, is controlled
5 by, or is under common control with; is in a partnership or joint
6 venture relationship with; or is a co-shareholder of a corporation,



1 a co-member of a limited liability company, or a co-partner in a
2 limited liability partnership with a licensee or applicant.

3 (c) "Applicant" means a person who applies for a state
4 operating license. Applicant includes, with respect to disclosures
5 in an application, for purposes of ineligibility for a license
6 under section 402, or for purposes of prior ~~marijuana~~**cannabis**
7 regulatory agency approval of a transfer of interest under section
8 406, and only for applications submitted on or after January 1,
9 2019, a managerial employee of the applicant, a person holding a
10 direct or indirect ownership interest of more than 10% in the
11 applicant, and the following for each type of applicant:

12 (i) For an individual or sole proprietorship: the proprietor
13 and the proprietor's spouse.

14 (ii) For a partnership and limited liability partnership: all
15 partners and their spouses. For a limited partnership and limited
16 liability limited partnership: all general and limited partners,
17 not including a limited partner holding a direct or indirect
18 ownership interest of 10% or less and who does not exercise control
19 over or participate in the management of the partnership, and their
20 spouses. For a limited liability company: all members and managers,
21 not including a member holding a direct or indirect ownership
22 interest of 10% or less and who does not exercise control over or
23 participate in the management of the company, and their spouses.

24 (iii) For a privately held corporation: all corporate officers
25 or persons with equivalent titles and their spouses, all directors
26 and their spouses, and all stockholders, not including those
27 holding a direct or indirect ownership interest of 10% or less, and
28 their spouses.

29 (iv) For a publicly held corporation: all corporate officers or



persons with equivalent titles and their spouses, all directors and their spouses, and all stockholders, not including those holding a direct or indirect ownership interest of 10% or less, and their spouses.

(v) For a multilevel ownership enterprise: any entity or person that receives or has the right to receive more than 10% of the gross or net profit from the enterprise during any full or partial calendar or fiscal year.

(vi) For a nonprofit corporation: all individuals and entities with membership or shareholder rights in accordance with the articles of incorporation or the bylaws and the spouses of the individuals.

(d) "Board" means the ~~marijuana~~**cannabis** regulatory agency.

(e) "Cannabis regulatory agency" means the marijuana regulatory agency created under Executive Reorganization Order No. 2019-2, MCL 333.27001, renamed the cannabis regulatory agency under Executive Reorganization Order No. 2022-1, MCL 333.27002.

(f) ~~(e)~~"Cutting" means a section of a lead stem or root stock that is used for vegetative asexual propagation.

(g) ~~(f)~~"Department" means the department of licensing and regulatory affairs.

(h) ~~(g)~~"Grower" means a licensee that is a commercial entity located in this state that cultivates, dries, trims, or cures and packages marihuana for sale to a processor, provisioning center, or another grower.

(i) ~~(h)~~"Industrial hemp" means that term as defined in section 3 of the Michigan Regulation and Taxation of Marihuana Act, 2018 IL 1, MCL 333.27953.

(j) ~~(i)~~"Industrial hemp research and development act" means



the industrial hemp research and development act, 2014 PA 547, MCL 286.841 to 286.859.

(k) ~~(j)~~ "Licensee" means a person holding a state operating license.

(l) ~~(k)~~ "Marihuana" means that term as defined in section 3 of the Michigan Regulation and Taxation of Marihuana Act, 2018 IL 1, MCL 333.27953.

(m) ~~(l)~~ "Marihuana facility" means a location at which a licensee is licensed to operate under this act.

~~(m) "Marihuana plant" means any plant of the species Cannabis sativa L. Marihuana plant does not include industrial hemp.~~

(n) "Marihuana-infused product" means that term as defined in section 3 of the Michigan Regulation and Taxation of Marihuana Act, 2018 IL 1, MCL 333.27953.

(o) "Marihuana plant" means any plant of the species Cannabis sativa L. Marihuana plant does not include industrial hemp.

(p) ~~(o)~~ "Marihuana tracking act" means the marihuana tracking act, 2016 PA 282, MCL 333.27901 to 333.27904.

~~(p) "Marijuana regulatory agency" means the marijuana regulatory agency created under Executive Reorganization Order No. 2019-2, MCL 333.27001.~~

(q) "Michigan medical marihuana act" means the Michigan Medical Marihuana Act, 2008 IL 1, MCL 333.26421 to 333.26430.

(r) "Municipality" means a city, township, or village.

(s) "Paraphernalia" means any equipment, product, or material of any kind that is designed for or used in growing, cultivating, producing, manufacturing, compounding, converting, storing, processing, preparing, transporting, injecting, smoking, ingesting, inhaling, or otherwise introducing into the human body, marihuana.



1 (t) "Person" means an individual, corporation, limited
2 liability company, partnership, limited partnership, limited
3 liability partnership, limited liability limited partnership,
4 trust, or other legal entity.

5 (u) "Plant" means any living organism that produces its own
6 food through photosynthesis and has observable root formation or is
7 in growth material.

8 (v) "Processor" means a licensee that is a commercial entity
9 located in this state that purchases marihuana from a grower and
10 that extracts resin from the marihuana or creates a marihuana-
11 infused product for sale and transfer in packaged form to a
12 provisioning center or another processor.

13 (w) "Provisioning center" means a licensee that is a
14 commercial entity located in this state that purchases marihuana
15 from a grower or processor and sells, supplies, or provides
16 marihuana to registered qualifying patients, directly or through
17 the patients' registered primary caregivers. Provisioning center
18 includes any commercial property where marihuana is sold at retail
19 to registered qualifying patients or registered primary caregivers.
20 A noncommercial location used by a registered primary caregiver to
21 assist a qualifying patient connected to the caregiver through the
22 ~~department's~~ **cannabis regulatory agency's** marihuana registration
23 process in accordance with the Michigan Medical Marihuana Act is
24 not a provisioning center for purposes of this act.

25 (x) "Registered primary caregiver" means a primary caregiver
26 who has been issued a current registry identification card under
27 the Michigan Medical Marihuana Act.

28 (y) "Registered qualifying patient" means a qualifying patient
29 who has been issued a current registry identification card under



1 the Michigan Medical Marihuana Act or a visiting qualifying patient
2 as that term is defined in section 3 of the Michigan Medical
3 Marihuana Act, MCL 333.26423.

4 (z) "Registry identification card" means that term as defined
5 in section 3 of the Michigan Medical Marihuana Act, MCL 333.26423.

6 (aa) "Rules" means rules promulgated under the administrative
7 procedures act of 1969, 1969 PA 306, MCL 24.201 to 24.328, by the
8 ~~marijuana~~**cannabis** regulatory agency to implement this act.

9 (bb) "Safety compliance facility" means a licensee that is a
10 commercial entity that takes marihuana from a marihuana facility or
11 receives marihuana from a registered primary caregiver, tests the
12 marihuana for contaminants and for tetrahydrocannabinol and other
13 cannabinoids, returns the test results, and may return the
14 marihuana to the marihuana facility.

15 (cc) "Secure transporter" means a licensee that is a
16 commercial entity located in this state that stores marihuana and
17 transports marihuana between marihuana facilities for a fee.

18 (dd) "Seed" means the fertilized, ungerminated, matured ovule,
19 containing an embryo or rudimentary plant, of a marihuana plant
20 that is flowering.

21 (ee) "Seedling" means a marihuana plant that has germinated
22 and has not flowered and is not harvestable.

23 (ff) "State operating license" or, unless the context requires
24 a different meaning, "license" means a license that is issued under
25 this act that allows the licensee to operate as 1 of the following,
26 specified in the license:

27 (i) A grower.

28 (ii) A processor.

29 (iii) A secure transporter.



(iv) A provisioning center.

(v) A safety compliance facility.

(gg) "Statewide monitoring system" or, unless the context requires a different meaning, "system" means an internet-based, statewide database established, implemented, and maintained by the ~~department~~**cannabis regulatory agency** under the marihuana tracking act, that is available to licensees, law enforcement agencies, and authorized state departments and agencies on a 24-hour basis for all of the following:

(i) Verifying registry identification cards.

(ii) Tracking marihuana transfer and transportation by licensees, including transferee, date, quantity, and price.

(iii) Verifying in commercially reasonable time that a transfer will not exceed the limit that the patient or caregiver is authorized to receive under section 4 of the Michigan Medical Marihuana Act, MCL 333.26424.

(hh) "Tissue culture" means a marihuana plant cell, cutting, tissue, or organ, that is kept under a sterile condition on a nutrient culture medium of known composition and that does not have visible root formation. A tissue culture is not a marihuana plant for purposes of a grower.

(ii) "Usable marihuana" means the dried leaves, flowers, plant resin, or extract of the marihuana plant, but does not include the seeds, stalks, and roots of the plant.

Sec. 402. (1) The ~~marijuana~~**cannabis** regulatory agency shall issue a license to an applicant if all of the following conditions are met:

(a) The applicant submits a complete application.

(b) The applicant pays both the nonrefundable application fee



1 required under section 401(5) and the regulatory assessment
2 established by the ~~marijuana-cannabis~~ regulatory agency for the
3 first year of operation.

4 (c) The ~~marijuana-cannabis~~ regulatory agency determines that
5 the applicant is qualified to receive a license under this act.

6 (2) An applicant is ineligible to receive a license if any of
7 the following circumstances exist:

8 (a) The applicant has been convicted of or released from
9 incarceration for a felony under the laws of this state, any other
10 state, or the United States within the past 10 years or has been
11 convicted of a controlled substance-related felony within the past
12 10 years. This subdivision does not apply to a felony for the
13 manufacture, processing, or distribution of marihuana, or
14 possession with the intent to manufacture, process, or distribute
15 marihuana, unless the felony involved the distribution of marihuana
16 to a minor.

17 (b) Within the past 5 years the applicant has been convicted
18 of a misdemeanor involving a controlled substance, theft,
19 dishonesty, or fraud in any state or been found responsible for
20 violating a local ordinance in any state involving a controlled
21 substance, dishonesty, theft, or fraud that substantially
22 corresponds to a misdemeanor in that state. This subdivision does
23 not apply to a misdemeanor or ordinance violation for the
24 possession or use of marihuana.

25 (c) The applicant has knowingly submitted an application for a
26 license under this act that contains false information.

27 (d) The applicant is an employee of the ~~marijuana-cannabis~~
28 regulatory agency.

29 (e) The applicant fails to demonstrate the applicant's ability



1 to maintain adequate premises liability and casualty insurance for
2 its proposed marihuana facility.

3 (f) The applicant holds an elective office of a governmental
4 unit of this state, another state, or the federal government. This
5 subdivision does not apply to an elected officer of or employee of
6 a federally recognized Indian tribe or to an elected precinct
7 delegate.

8 (g) The applicant is a member of or employed by a regulatory
9 body of a governmental unit in this state, another state, or the
10 federal government, or is employed by a governmental unit of this
11 state. This subdivision does not apply to any of the following:

12 (i) An elected officer of or employee of a federally recognized
13 Indian tribe.

14 (ii) An elected precinct delegate.

15 (iii) The spouse of a person who applies for a state operating
16 license unless the spouse's position creates a conflict of interest
17 or is within any of the following:

18 (A) The ~~marijuana~~-**cannabis** regulatory agency.

19 (B) A regulatory body of a governmental unit in this state,
20 another state, or the federal government that makes decisions
21 regarding medical marihuana.

22 (h) The ~~marijuana~~-**cannabis** regulatory agency determines that
23 the applicant is not in compliance with section 205(1).

24 (i) The ~~marijuana~~-**cannabis** regulatory agency determines that
25 the applicant is not in compliance with section 408.

26 (j) The applicant fails to meet other criteria established by
27 rule.

28 (3) In determining whether to grant a license to an applicant,
29 the ~~marijuana~~-**cannabis** regulatory agency may also consider all of



1 the following:

2 (a) The business probity; financial ability and experience;
3 and responsibility or means to operate or maintain a marihuana
4 facility of the applicant and of any other person that meets either
5 of the following:

6 (i) Controls, directly or indirectly, the applicant.

7 (ii) Is controlled, directly or indirectly, by the applicant or
8 by a person who controls, directly or indirectly, the applicant.

9 (b) The financial ability of the applicant to purchase and
10 maintain adequate liability and casualty insurance.

11 (c) The sources and total amount of the applicant's
12 capitalization to operate and maintain the proposed marihuana
13 facility.

14 (d) Whether the applicant has been indicted for, charged with,
15 arrested for, or convicted of, pled guilty or nolo contendere to,
16 forfeited bail concerning, or had expunged any relevant criminal
17 offense under the laws of any jurisdiction, either felony or
18 misdemeanor, not including traffic violations, regardless of
19 whether the offense has been expunged, pardoned, or reversed on
20 appeal or otherwise. This subdivision does not apply to a criminal
21 offense for the possession, use, manufacture, processing, or
22 distribution of marihuana, or possession with the intent to
23 manufacture, process, or distribute marihuana, unless the felony
24 involved the distribution of marihuana to a minor.

25 (e) Whether the applicant has filed, or had filed against it,
26 a proceeding for bankruptcy within the past 7 years.

27 (f) Whether the applicant has been served with a complaint or
28 other notice filed with any public body regarding payment of any
29 tax required under federal, state, or local law that has been



1 delinquent for 1 or more years.

2 (g) Whether the applicant has a history of noncompliance with
3 any regulatory requirements in this state or any other
4 jurisdiction.

5 (h) Whether at the time of application the applicant is a
6 defendant in litigation involving its business practices.

7 (i) Whether the applicant meets other standards in rules
8 applicable to the license category.

9 (4) Each applicant shall ensure that 1 set of fingerprints is
10 submitted to the department of state police. The applicant shall
11 submit with its application the applicant's written consent to the
12 criminal history check described in this section and the submission
13 of the applicant's fingerprints to, and the inclusion of the
14 applicant's fingerprints in, the state and federal database systems
15 described in subsection (7).

16 (5) The fingerprints required under subsection (4) may be
17 taken by a law enforcement agency or any other person determined by
18 the department of state police to be qualified to take
19 fingerprints. The applicant shall submit a fingerprint processing
20 fee to the department in an amount required under section 3 of 1935
21 PA 120, MCL 28.273, and any costs imposed by the Federal Bureau of
22 Investigation.

23 (6) The department of state police shall do all of the
24 following:

25 (a) Conduct a criminal history check on each applicant and
26 request the Federal Bureau of Investigation to make a determination
27 of the existence of any national criminal history pertaining to
28 each applicant.

29 (b) Provide the ~~marijuana~~**cannabis** regulatory agency with a



1 written report containing the criminal history record information
2 of each applicant.

3 (7) All of the following apply concerning fingerprints
4 submitted to the department of state police under this section:

5 (a) The department of state police shall store and retain all
6 fingerprints submitted under this section in an automated
7 fingerprint identification system database that searches against
8 latent fingerprints, and provides for an automatic notification
9 when a subsequent fingerprint is submitted into the system that
10 matches a fingerprint previously submitted under this section or
11 when the criminal history of an individual whose fingerprints are
12 retained in the system is updated. Upon receiving a notification,
13 the department of state police shall immediately notify the
14 ~~marijuana~~**cannabis** regulatory agency. Information in the database
15 maintained under this subsection is confidential, is not subject to
16 disclosure under the freedom of information act, 1976 PA 442, MCL
17 15.231 to 15.246, and ~~shall~~**must** not be disclosed to any person
18 except for purposes of this act or for law enforcement purposes.

19 (b) The department of state police shall forward all
20 fingerprints submitted to it under this section to the Federal
21 Bureau of Investigation for submission of those fingerprints into
22 the FBI automatic notification system. This subdivision does not
23 apply until the department of state police is a participant in the
24 FBI automatic notification system. As used in this subdivision:

25 (i) "Automatic notification system" means a system that stores
26 and retains fingerprints, and that provides for an automatic
27 notification to a participant if and when a fingerprint is
28 submitted into the system that matches an individual whose
29 fingerprints are retained in the system or if and when the criminal



1 history of an individual whose fingerprints are retained in the
2 system is updated.

3 (ii) "FBI automatic notification system" means the automatic
4 notification system that is maintained by the Federal Bureau of
5 Investigation.

6 (8) The ~~marijuana~~-**cannabis** regulatory agency shall review all
7 applications for licenses and shall inform each applicant of the
8 ~~marijuana~~-**cannabis** regulatory agency's decision.

9 (9) A license shall be issued for a 1-year period and is
10 renewable annually. Except as otherwise provided in this act, the
11 ~~marijuana~~-**cannabis** regulatory agency shall renew a license if all
12 of the following requirements are met:

13 (a) The licensee applies to the ~~marijuana~~-**cannabis** regulatory
14 agency on a renewal form provided by the ~~marijuana~~-**cannabis**
15 regulatory agency that requires information prescribed in rules.

16 (b) The application is received by the ~~marijuana~~-**cannabis**
17 regulatory agency on or before the expiration date of the current
18 license.

19 (c) The licensee pays the regulatory assessment under section
20 603.

21 (d) The licensee meets the requirements of this act and any
22 other renewal requirements set forth in rules.

23 (10) The ~~department~~-**cannabis regulatory agency** shall notify
24 the licensee by mail or ~~electronic mail~~-**email** at the last known
25 address on file with the ~~marijuana~~-**cannabis** regulatory agency
26 advising of the time and procedure for paying and the amount of the
27 regulatory assessment under section 603. The failure of the
28 licensee to receive notice under this subsection does not relieve
29 the licensee of the responsibility for renewing the license.



(11) If a license renewal application is not submitted by the license expiration date, the license may be renewed ~~within~~**not later than** 60 days after its expiration date upon application, payment of the regulatory assessment under section 603, and satisfaction of any renewal requirement and late fee set forth in rules. The licensee may continue to operate during the 60 days after the license expiration date if the license is renewed by the end of the 60-day period.

(12) ~~License~~**The expiration of a person's state operating license, or the mere fact that a person is no longer a licensee or no longer operates a marihuana facility,** does not terminate the ~~marijuana-cannabis~~ regulatory agency's authority to impose sanctions on a ~~licensee whose license has expired.~~**the person.**

(13) In its decision on an application for renewal, the ~~marijuana-cannabis~~ regulatory agency shall consider any specific written input it receives from an individual or entity within the local unit of government in which the applicant for renewal is located.

(14) A licensee must consent in writing to inspections, examinations, searches, and seizures that are permitted under this act and must provide a handwriting exemplar, fingerprints, photographs, and information as authorized in this act or by rules.

(15) An applicant or licensee has a continuing duty to provide information requested by the ~~marijuana-cannabis~~ regulatory agency and to cooperate in any investigation, inquiry, or hearing conducted by the ~~marijuana-cannabis~~ regulatory agency.

Sec. 407. (1) If an applicant or licensee fails to comply with this act or rules, if a licensee fails to comply with the marihuana tracking act, if a licensee no longer meets the eligibility



1 requirements for a license under this act, or if an applicant or
 2 licensee fails to provide information the ~~board~~**cannabis regulatory**
 3 **agency** requests to assist in any investigation, inquiry, or ~~board~~
 4 hearing, the ~~board~~**cannabis regulatory agency** may deny, suspend,
 5 revoke, or restrict a license. The ~~board~~**cannabis regulatory agency**
 6 may suspend, revoke, or restrict a license and require the removal
 7 of a licensee or an employee of a licensee for a violation of this
 8 act, rules, the marihuana tracking act, or any ordinance adopted
 9 under section 205. The ~~board~~**cannabis regulatory agency** may impose
 10 civil fines of up to \$5,000.00 against an individual and up to
 11 \$10,000.00 or an amount equal to the daily gross receipts,
 12 whichever is greater, against a licensee for each violation of this
 13 act, rules, or an order of the ~~board~~**cannabis regulatory agency**.
 14 Assessment of a civil fine under this subsection is not a bar to
 15 the investigation, arrest, charging, or prosecution of an
 16 individual for any other violation of this act and is not grounds
 17 to suppress evidence in any criminal prosecution that arises under
 18 this act or any other law of this state.

19 (2) The ~~board~~**cannabis regulatory agency** shall comply with the
 20 administrative procedures act of 1969, 1969 PA 306, MCL 24.201 to
 21 24.328, when denying, revoking, suspending, or restricting a
 22 license or imposing a fine. ~~The board may suspend a license without~~
 23 ~~notice or hearing upon a determination that the safety or health of~~
 24 ~~patrons or employees is jeopardized by continuing a marihuana~~
 25 ~~facility's operation. If the board suspends a license under this~~
 26 ~~subsection without notice or hearing, a prompt postsuspension~~
 27 ~~hearing must be held to determine if the suspension should remain~~
 28 ~~in effect. The suspension may remain in effect until the board~~
 29 ~~determines that the cause for suspension has been abated. The board~~



~~may revoke the license or approve a transfer or sale of the license upon a determination that the licensee has not made satisfactory progress toward abating the hazard.~~**The cannabis regulatory agency may summarily suspend a license in accordance with section 92 of the administrative procedures act of 1969, 1969 PA 306, MCL 24.292, if the cannabis regulatory agency determines that the licensee has engaged in conduct that requires emergency action because the conduct poses a risk to the public health, safety, or welfare. For purposes of this subsection, conduct that poses a risk to the public health, safety, or welfare includes, but is not limited to, any of the following:**

(a) The licensee is in possession of marihuana for which the source cannot be determined.

(b) The cannabis regulatory agency determines that the licensee is in possession of marihuana that the licensee obtained in violation of this act.

(c) The licensee obstructs a cannabis regulatory agency investigation.

(d) The licensee fails to provide the cannabis regulatory agency with records that the licensee is required to provide to the cannabis regulatory agency under this act or rules.

(3) After denying an application for a license, the ~~board~~ **cannabis regulatory agency** shall, upon request, provide a public investigative hearing at which the applicant is given the opportunity to present testimony and evidence to establish its suitability for a license. Other testimony and evidence may be presented at the hearing, but the ~~board's~~ **cannabis regulatory agency's** decision must be based on the whole record before the ~~board~~ **cannabis regulatory agency** and is not limited to testimony



1 and evidence submitted at the public investigative hearing.

2 (4) Except for license applicants ~~who~~**that** may be granted a
 3 hearing at the discretion of the ~~board~~**cannabis regulatory agency**
 4 under subsection (3), any party aggrieved by an action of the ~~board~~
 5 **cannabis regulatory agency** suspending, revoking, restricting, or
 6 refusing to renew a license, or imposing a fine, ~~shall~~**must** be
 7 given a hearing before the ~~board~~**cannabis regulatory agency** upon
 8 request. A request for a hearing must be made to the ~~board~~**cannabis**
 9 **regulatory agency** in writing ~~within~~**not later than** 21 days after
 10 service of notice of the action of the ~~board~~**cannabis regulatory**
 11 **agency**. Notice of the action of the ~~board~~**cannabis regulatory**
 12 **agency** must be served ~~either~~ by personal delivery or by certified
 13 mail, postage prepaid, to the aggrieved party. Notice served by
 14 certified mail is considered complete on the business day following
 15 the date of the mailing.

16 (5) The ~~board~~**cannabis regulatory agency** may conduct
 17 investigative and contested case hearings; issue subpoenas for the
 18 attendance of witnesses; issue subpoenas duces tecum for the
 19 production of books, ledgers, records, memoranda, electronically
 20 retrievable data, and other pertinent documents; and administer
 21 oaths and affirmations to witnesses as appropriate to exercise and
 22 discharge the powers and duties of the ~~board~~**cannabis regulatory**
 23 **agency** under this act. The **executive** director of the ~~department~~
 24 **cannabis regulatory agency** or ~~his or her~~**the director's** designee
 25 may issue subpoenas and administer oaths and affirmations to
 26 witnesses.

